

S

Sabbatical Leave

[Glossary Term Usage](#) | See Topic(s): [710](#)

A benefit in the form of a compensated absence whereby the employee is entitled to paid time off after working for an entity for a specified period of time. During the sabbatical, the individual continues to be a compensated employee and is not required to perform any duties for the entity.

Saleable Hydrocarbons

[Glossary Term Usage](#) | See Topic(s): [932](#)

Hydrocarbons that are saleable in the state in which the hydrocarbons are delivered.

Sales Inducements

[Glossary Term Usage](#) | See Topic(s): [944](#)

Contractually obligated inducements that are identified explicitly in a contract and are in excess of current market conditions. A sales inducement to a contract holder enhances the investment yield to the contract holder. The three main types of sales inducements are an [immediate bonus](#), a [persistency bonus](#), and an [enhanced-crediting-rate bonus](#).

Sales Recognition

NO INCOMING LINKS

Any method that is described in Subtopic [360-20](#) as a method to record a transaction involving real estate, other than the deposit method, or the methods to record transactions accounted for as financing, leasing, or profit-sharing arrangements. Profit recognition methods described in Subtopic [360-20](#) commonly used to record transactions involving real estate include, but are not limited to, the full accrual method, the installment method, the cost recovery method, and the reduced profit method.

Sales-Type Lease

[Glossary Term Usage](#) | See Topic(s): [220](#) , [255](#) , [310](#) , [450](#) , [805](#) , [810](#) , [840](#) , [842](#) , [860](#) , [970](#)

From the perspective of a [lessor](#), a [lease](#) that meets one or more of the criteria in paragraph [842-10-25-2](#) and is not an operating lease in accordance with paragraph [842-10-25-3A](#).

Salvage



[Glossary Term Usage](#) | See Topic(s): [944](#)

The amount received by an insurer from the sale of property (usually damaged) on which the insurer has paid a total claim to the insured and has obtained title to the property.

Sampler Program



[Glossary Term Usage](#) | See Topic(s): [978](#)

A marketing program under which a time-share developer offers a customer, who has previously toured one of the developer's projects, a stay at one of the projects at a reduced rate. In exchange, the customer agrees to take another, subsequent tour of the project selected under the sampler program during the customer's stay at that project. If the subsequent tour results in a sale, the developer may allow the customer to apply some or all of the amount paid for the sampler toward the purchase of a time-share, as a part of the down payment. Also referred to as Exit Program.

SC



NO INCOMING LINKS

See [Service Corporation](#).

SEC Registrant



NO INCOMING LINKS

See [Securities and Exchange Commission Registrant](#).

Secured Claim



[Glossary Term Usage](#) | See Topic(s): [852](#)

A liability that is secured by collateral. A fully secured [claim](#) is one in which the value of the collateral is greater than the amount of the claim.

Secured Overnight Financing Rate (SOFR) Overnight Index Swap Rate



[Glossary Term Usage](#) | See Topic(s): [815](#)

The fixed rate on a U.S. dollar, constant-notional interest rate swap that has its variable-rate leg referenced to the Secured Overnight Financing Rate (SOFR) (an overnight rate) with no additional spread over SOFR on that variable-rate leg. That fixed rate is the derived rate that would result in the swap having a zero fair value at inception because the present value of fixed cash flows, based on that rate, equates to the present value of the variable cash flows.

Securities and Exchange Commission (SEC) Filer

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [326](#) , [350](#) , [805](#) , [815](#) , [855](#) , [944](#)

An entity that is required to file or furnish its financial statements with either of the following:

- a. The Securities and Exchange Commission (SEC)
- b. With respect to an entity subject to Section 12(i) of the Securities Exchange Act of 1934, as amended, the appropriate agency under that Section.

Financial statements for other entities that are not otherwise SEC filers whose financial statements are included in a submission by another SEC filer are not included within this definition.

Securities and Exchange Commission Registrant

[Glossary Term Usage](#) | See Topic(s): [270](#) , [480](#) , [718](#)

An entity (or an entity that is controlled by an entity) that meets any of the following criteria:

- a. It has issued or will issue debt or equity securities that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).
- b. It is required to file financial statements with the Securities and Exchange Commission (SEC).
- c. It provides financial statements for the purpose of issuing any class of securities in a public market.

Securities Custodian

[Glossary Term Usage](#) | See Topic(s): [210](#)

The securities custodian for a securities transfer system may be the bank or financial institution that executes securities transfers over the securities transfer system, and book entry securities exist only in electronic form on the records of the transfer system operator for each entity that has a security account with the transfer system operator.

Securities Industry and Financial Markets Association (SIFMA) Municipal Swap Rate

[Glossary Term Usage](#) | See Topic(s): [815](#)

The fixed rate on a U.S. dollar, constant-notional interest rate swap that has its variable-rate leg referenced to the Securities Industry and Financial Markets Association (SIFMA) Municipal Swap Index with no additional spread

over the SIFMA Municipal Swap Index on that variable-rate leg. That fixed rate is the derived rate that would result in the swap having a zero fair value at inception because the present value of fixed cash flows, based on that rate, equates to the present value of the variable cash flows.

Securitization

[Glossary Term Usage](#) | See Topic(s): [860](#)

The process by which financial assets are transformed into securities.

Security

Definition 1 | [Glossary Term Usage](#) | See Topic(s): [260](#)

The evidence of debt or ownership or a related right. It includes options and warrants as well as debt and stock.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [220](#) , [320](#) , [321](#) , [470](#) , [805](#) , [815](#) , [832](#) , [860](#) , [952](#) , [958](#)

A share, participation, or other interest in property or in an entity of the issuer or an obligation of the issuer that has all of the following characteristics:

- a. It is either represented by an instrument issued in bearer or registered form or, if not represented by an instrument, is registered in books maintained to record transfers by or on behalf of the issuer.
- b. It is of a type commonly dealt in on securities exchanges or markets or, when represented by an instrument, is commonly recognized in any area in which it is issued or dealt in as a medium for investment.
- c. It either is one of a class or series or by its terms is divisible into a class or series of shares, participations, interests, or obligations.

Security Interest

[Glossary Term Usage](#) | See Topic(s): [860](#)

A form of interest in property that provides that upon default of the obligation for which the security interest is given, the property may be sold to satisfy that obligation.

Seed Money

[Glossary Term Usage](#) | See Topic(s): [944](#)

An investment of non-contract-holder funds by an insurer in a separate account when it is established, to support the initial or ongoing operations of the separate account.

Seller



[Glossary Term Usage](#) | See Topic(s): [860](#)

A transferor that relinquishes control over financial assets by transferring them to a transferee in exchange for consideration.

Seller Subsidy



[Glossary Term Usage](#) | See Topic(s): [978](#)

As related to time-sharing transactions, an amount that a seller pays to an owners association to cover net losses that may be incurred by the association.

Selling Profit or Selling Loss



[Glossary Term Usage](#) | See Topic(s): [842](#)

At the [commencement date](#), selling profit or selling loss equals:

- The [fair value](#) of the [underlying asset](#) or the sum of (1) the [lease receivable](#) and (2) any [lease payments](#) prepaid by the lessee, if lower; minus
- The carrying amount of the underlying asset net of any [unguaranteed residual asset](#); minus
- Any deferred [initial direct costs](#) of the lessor.

Separate Account



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [960](#)

A special account established by an insurance entity solely for the purpose of investing the assets of one or more plans. Funds in a separate account are not commingled with other assets of the insurance entity for investment purposes.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [944](#)

A separate investment account established and maintained by an insurance entity under relevant state insurance law to which funds have been allocated for certain contracts of the insurance entity or similar accounts used for foreign originated products. The term separate accounts includes separate accounts and subaccounts or investment divisions of separate accounts.

Separate Account Arrangement



[Glossary Term Usage](#) | See Topic(s): [944](#)

An arrangement under which all or a portion of a contract holder's funds is allocated to a specific separate account maintained by the insurance entity.

Separately Priced Contracts



[Glossary Term Usage](#) | See Topic(s): [605](#)

An agreement under which the customer has the option to purchase an extended warranty or a product maintenance contract for an expressly stated amount separate from the price of the product.

Service



[Glossary Term Usage](#) | See Topic(s): [715](#) , [960](#)

Employment taken into consideration under a pension plan. Years of employment before the inception of a plan constitute an employee's past service; years thereafter are classified in relation to the particular actuarial valuation being made or discussed. Years of employment (including past service) before the date of a particular valuation constitute prior service; years of employment following the date of the valuation constitute future service; a year of employment adjacent to the date of valuation, or in which such date falls, constitutes current service.

Service Condition



[Glossary Term Usage](#) | See Topic(s): [606](#) , [718](#)

A condition affecting the vesting, exercisability, exercise price, or other pertinent factors used in determining the fair value of an award that depends solely on an employee rendering service to the employer for the requisite service period or a nonemployee delivering goods or rendering services to the grantor over a vesting period. A condition that results in the acceleration of vesting in the event of a grantee's death, disability, or termination without cause is a service condition.

Service Cooperative



[Glossary Term Usage](#) | See Topic(s): [905](#)

A cooperative that provides to its patrons such services as trucking, storage, accounting, and data processing.

Service Corporation



[Glossary Term Usage](#) | See Topic(s): [974](#)

A real estate investment trust may establish a service corporation to perform services for the real estate investment trust or for third parties. Service corporations may provide property management and leasing

services, as well as services to acquire, develop, construct, finance, or sell real estate projects.

Service Cost (Component of Net Periodic Pension Cost)

[Glossary Term Usage](#) | See Topic(s): [220](#) , [715](#)

A component of net periodic pension cost recognized in a period determined as the actuarial present value of benefits attributed by the pension benefit formula to services rendered by employees during that period.

The service cost component is a portion of the projected benefit obligation and is unaffected by the funded status of the plan.

Service Cost (Component of Net Periodic Postretirement Benefit Cost)

[Glossary Term Usage](#) | See Topic(s): [220](#) , [715](#)

The actuarial present value of benefits attributed to services rendered by employees during the period (the portion of the expected postretirement benefit obligation attributed to service in the period). The service cost component is the same for an unfunded plan, a plan with minimal funding, and a well-funded plan.

Service Inception Date

[Glossary Term Usage](#) | See Topic(s): [718](#)

The date at which the employee's requisite service period or the nonemployee's vesting period begins. The service inception date usually is the grant date, but the service inception date may differ from the grant date (see Example 6 [see paragraph [718-10-55-107](#)] for an illustration of the application of this term to an employee award).

Service Well

[Glossary Term Usage](#) | See Topic(s): [932](#)

A service well is a well drilled or completed for the purpose of supporting production in an existing field. Wells in this class are drilled for the following specific purposes: gas injection (natural gas, propane, butane, or flue gas), water injection, steam injection, air injection, salt-water disposal, water supply for injection, observation, or injection for in-situ combustion.

Servicing Assets

[Glossary Term Usage](#) | See Topic(s): [860](#)

A contract to service financial assets under which the benefits of servicing are expected to more than adequately compensate the servicer for performing the servicing. A servicing contract is either:

- a. Undertaken in conjunction with selling or securitizing the financial assets being serviced
- b. Purchased or assumed separately.

Servicing Liabilities

[Glossary Term Usage](#) | See Topic(s): [860](#)

A contract to service financial assets under which the estimated future revenues from contractually specified servicing fees, late charges, and other ancillary revenues (benefits of servicing) are not expected to adequately compensate the servicer for performing the servicing.

Set for Production

[Glossary Term Usage](#) | See Topic(s): [926](#)

This means that management, with the relevant authority, implicitly or explicitly authorizes and commits to funding the production of a film; active preproduction has begun; and the start of principal photography is expected to begin within six months.

Set-off Right

[Glossary Term Usage](#) | See Topic(s): [860](#)

A common law right of a party that is both a debtor and a creditor to the same counterparty to reduce its obligation to that counterparty if that counterparty fails to pay its obligation.

Settlement of a Pension or Postretirement Benefit Obligation

[Glossary Term Usage](#) | See Topic(s): [205](#) , [715](#)

A transaction that is an irrevocable action, relieves the employer (or the plan) of primary responsibility for a pension or postretirement benefit obligation, and eliminates significant risks related to the obligation and the assets used to effect the settlement.

Settlement of an Award

[Glossary Term Usage](#) | See Topic(s): [718](#)

An action or event that irrevocably extinguishes the issuing entity's obligation under a share-based payment award. Transactions and events that constitute settlements include the following:

- a. Exercise of a share option or lapse of an option at the end of its contractual term

- b. Vesting of shares
- c. Forfeiture of shares or share options due to failure to satisfy a vesting condition
- d. An entity's repurchase of instruments in exchange for assets or for fully vested and transferable equity instruments.

The vesting of a share option is not a settlement because the entity remains obligated to issue shares upon exercise of the option.

Settlement Period

[Glossary Term Usage](#) | See Topic(s): [944](#)

The estimated period over which a ceding entity expects to recover substantially all amounts due from the reinsurer under the terms of the reinsurance contract.

Severe Impact

[Glossary Term Usage](#) | See Topic(s): [275](#)

(Used in reference to current vulnerability due to certain concentrations.) A significant financially disruptive effect on the normal functioning of an entity. Severe impact is a higher threshold than material. Matters that are important enough to influence a user's decisions are deemed to be material, yet they may not be so significant as to disrupt the normal functioning of the entity. Some events are material to an investor because they might affect the price of an entity's capital stock or its debt securities, but they would not necessarily have a severe impact on (disrupt) the entity itself. The concept of severe impact, however, includes matters that are less than catastrophic. Matters that are catastrophic include, for example, those that would result in bankruptcy.

Share Option

[Glossary Term Usage](#) | See Topic(s): [718](#)

A contract that gives the holder the right, but not the obligation, either to purchase (to call) or to sell (to put) a certain number of shares at a predetermined price for a specified period of time.

Share Unit

[Glossary Term Usage](#) | See Topic(s): [718](#)

A contract under which the holder has the right to convert each unit into a specified number of shares of the issuing entity.

Share-Based Payment Arrangements

[Glossary Term Usage](#) | See Topic(s): [220](#) , [260](#) , [606](#) , [718](#) , [815](#)

An arrangement under which either of the following conditions is met:

- a. One or more suppliers of goods or services (including employees) receive awards of equity shares, equity share options, or other equity instruments.
- b. The entity incurs liabilities to suppliers that meet either of the following conditions:
 1. The amounts are based, at least in part, on the price of the entity's shares or other equity instruments. (The phrase at least in part is used because an award may be indexed to both the price of the entity's shares and something other than either the price of the entity's shares or a market, performance, or service condition.)
 2. The awards require or may require settlement by issuance of the entity's shares.

The term shares includes various forms of ownership interest that may not take the legal form of securities (for example, partnership interests), as well as other interests, including those that are liabilities in substance but not in form. Equity shares refers only to shares that are accounted for as equity.

Also called share-based compensation arrangements.

Share-Based Payment Transactions



[Glossary Term Usage](#) | See Topic(s): [718](#)

A transaction under a share-based payment arrangement, including a transaction in which an entity acquires goods or services because related parties or other holders of economic interests in that entity awards a share-based payment to an employee or other supplier of goods or services for the entity's benefit. Also called share-based compensation transactions.

Shares



[Glossary Term Usage](#) | See Topic(s): [480](#)

Shares includes various forms of ownership that may not take the legal form of securities (for example, partnership interests), as well as other interests, including those that are liabilities in substance but not in form. (Business entities have interest holders that are commonly known by specialized names, such as stockholders, partners, and proprietors, and by more general names, such as investors, but all are encompassed by the descriptive term owners. Equity of business entities is, thus, commonly known by several names, such as owners' equity, stockholders' equity, ownership, equity capital, partners' capital, and proprietorship. Some entities [for example, mutual organizations] do not have stockholders, partners, or proprietors in the usual sense of those terms but do have participants whose interests are essentially ownership interests, residual interests, or both.)

Short-Term Inducement



[Glossary Term Usage](#) | See Topic(s): [718](#)

An offer by the entity that would result in modification of an award to which an award holder may subscribe for a limited period of time.

Short-Term Lease

[Glossary Term Usage](#) | See Topic(s): [220](#) , [842](#)

A [lease](#) that, at the [commencement date](#), has a [lease term](#) of 12 months or less and does not include an option to purchase the [underlying asset](#) that the [lessee](#) is reasonably certain to exercise.

Short-Term Obligations

[Glossary Term Usage](#) | See Topic(s): [210](#)

Short-term obligations are those that are scheduled to mature within one year after the date of an entity's balance sheet or, for those entities that use the operating cycle concept of working capital described in paragraphs [210-10-45-3](#) and [210-10-45-7](#), within an entity's operating cycle that is longer than one year.

Significant Changes to a Film

[Glossary Term Usage](#) | See Topic(s): [926](#)

Changes that are additive to a film; that is, the creation of new or additional content after the film is initially available to the customer. For example, reshooting a scene or creating additional special effects are significant changes.

Significant Geographic Area

SEC Definition | [Glossary Term Usage](#) | See Topic(s): [942](#)

See paragraph [942-235-S99-1](#), Regulation S-X Rule 9-05(c)(3), for the definition of significant geographic area for purposes of Regulation S-X Rule 9-05.

Significant Influence

[Glossary Term Usage](#) | See Topic(s): [323](#)

Paragraphs [323-10-15-6 through 15-11](#) define significant influence.

Significant Oil- and Gas-Producing Activities

[Glossary Term Usage](#) | See Topic(s): [932](#)

An entity is regarded as having significant [oil- and gas-producing activities](#) if it satisfies any of the following criteria. The criteria shall be applied separately for each year for which a complete set of annual financial statements is presented.

- a. Revenues from oil- and gas-producing activities, as defined in paragraph [932-235-50-24](#) (including both sales to unaffiliated customers and sales or transfers to the entity's other operations), are 10 percent or more of the combined revenues (sales to unaffiliated customers and sales or transfers to the entity's other operations) of all of the entity's industry segments. An industry segment is a component of an entity engaged in providing a product or service or a group of related products or services primarily to external customers (that is, customers outside the entity) for a profit.
- b. Results of operations for oil- and gas-producing activities, including equity earnings or losses from oil- and gas- producing activities of equity method investees and excluding the effect of income taxes, are 10 percent or more of the greater of the following:
 1. The combined operating profit (including equity earnings) of all industry segments that did not incur an operating loss
 2. The combined operating loss (including equity losses) of all industry segments that did incur an operating loss.
- c. The identifiable assets of oil- and gas-producing activities (tangible and intangible entity assets that are used by oil- and gas-producing activities, including an allocated portion of assets used jointly with other operations and the investment balance in the oil- and gas-producing activities of equity method investees) are 10 percent or more of the assets of the entity, excluding assets used exclusively for general corporate purposes.

Simultaneous-Equations Method

[Glossary Term Usage](#) | See Topic(s): [946](#)

A method to calculate distributions to shareholders from net investment income that seeks to ensure, by using simultaneous equations, that the distribution rates will differ among the classes by the anticipated differential in expense ratios.

Single Premium Deferred Annuity

[Glossary Term Usage](#) | See Topic(s): [944](#)

A [general account](#) fixed deferred annuity with a single premium and guaranteed minimum crediting rate. The crediting rate may vary above the minimum guaranteed rate at the discretion of the insurance entity and typically is declared in advance and set for a defined period (for example, one year or three years), often as a result of a selection made by the contract holder.

Single-Employer Plan

[Glossary Term Usage](#) | See Topic(s): [715](#)

A pension plan or other postretirement benefit plan that is maintained by one employer. The term also may be used to describe a plan that is maintained by related parties such as a parent and its subsidiaries.

Slot Machine



[Glossary Term Usage](#) | See Topic(s): [924](#)

A type of mechanical or electrical apparatus used in connection with gaming.

Soft-Dollar Arrangements



[Glossary Term Usage](#) | See Topic(s): [940](#)

An arrangement in which a broker-dealer provides research to a customer in return for trade order flow (a certain volume of trades) from that customer.

Spare Parts



[Glossary Term Usage](#) | See Topic(s): [908](#)

Parts, appurtenances, and accessories of aircraft (other than aircraft engines and propellers), of aircraft engines (other than propellers), of propellers, or of appliances that are maintained for installation or use in an aircraft, aircraft engine, propeller, or appliance but that are not yet installed or attached.

SPDA



NO INCOMING LINKS

See [Single Premium Deferred Annuity](#).

Special Drawing Rights



[Glossary Term Usage](#) | See Topic(s):

Special Drawing Rights on the International Monetary Fund are international reserve assets whose value is based on a basket of key international currencies.

Special Termination Benefits



[Glossary Term Usage](#) | See Topic(s): [712](#)

Benefits that are offered for a short period of time in exchange for employees' voluntary termination of service.



Specialized Skills

[Glossary Term Usage](#) | See Topic(s): [958](#)

Services that require expertise that is not possessed by most members of the general public or that require an individual to be licensed to practice the profession or craft.

Spending Rate



[Glossary Term Usage](#) | See Topic(s): [958](#)

The portion of total return on investments used for fiscal needs of the current period, usually used as a budgetary method of reporting returns of investments. It is usually measured in terms of an amount or a specified percentage of a moving average market value. Typically, the selection of a spending rate emphasizes the use of prudence and a systematic formula to determine the portion of cumulative investment return that can be used to support fiscal needs of the current period and the protection of endowment gifts from a loss of purchasing power as a consideration in determining the formula to be used.

Spinoff



[Glossary Term Usage](#) | See Topic(s): [505](#)

The transfer of assets that constitute a [business](#) by an entity (the spinnor) into a new legal spun-off entity (the spinnee), followed by a distribution of the shares of the spinnee to its shareholders, without the surrender by the shareholders of any stock of the spinnor.

Split-Interest Agreement



[Glossary Term Usage](#) | See Topic(s): [958](#)

An agreement in which a donor enters into a trust or other arrangement under which a not-for-profit entity (NFP) receives benefits that are shared with other beneficiaries. A typical split-interest agreement has the following two components:

- a. A [lead interest](#)
 - b. A [remainder interest](#).
-

Split-off



[Glossary Term Usage](#) | See Topic(s): [845](#)

A transaction in which a parent entity exchanges its stock in a subsidiary for parent entity stock held by its shareholders.

Sponsor



Definition 1 | [Glossary Term Usage](#) | See Topic(s): [730](#) , [810](#)

An entity that capitalizes a research and development arrangement.

Definition 2 | [Glossary Term Usage](#) | See Topic(s): [960](#) , [962](#)

In the case of a pension plan established or maintained by a single employer, the employer; in the case of a plan established or maintained by an employee entity, the employee entity; in the case of a plan established or maintained jointly by two or more employers or by one or more employers and one or more employee entities, the association, committee, joint board of trustees, or other group of representatives of the parties that have established or that maintain the pension plan.

Spot Rate



[Glossary Term Usage](#) | See Topic(s): [815](#) , [926](#) , [946](#)

The exchange rate for immediate delivery of currencies exchanged.

Springing Lock-Box Arrangement



[Glossary Term Usage](#) | See Topic(s): [470](#)

Some borrowings outstanding under a revolving credit agreement include both a subjective acceleration clause and a requirement to maintain a springing lock-box arrangement, whereby remittances from the borrower's customers are forwarded to the debtor's general bank account and do not reduce the debt outstanding until and unless the lender exercises the subjective acceleration clause.

Standalone Price



[Glossary Term Usage](#) | See Topic(s): [350](#) , [842](#)

The price at which a customer would purchase a component of a [contract](#) separately.

Standalone Selling Price



[Glossary Term Usage](#) | See Topic(s): [606](#) , [705](#) , [805](#) , [820](#)

The price at which an entity would sell a promised good or service separately to a [customer](#).

Standard Antidilution Provisions



[Glossary Term Usage](#) | See Topic(s): [260](#) , [505](#) , [815](#)

Standard antidilution provisions are those that result in adjustments to the conversion ratio in the event of an [equity restructuring](#) transaction that are designed to maintain the value of the conversion option.

Standard Representations and Warranties

[Glossary Term Usage](#) | See Topic(s): [860](#)

Representations and warranties that assert the financial asset being transferred is what it is purported to be at the transfer date.

Standby Letter of Credit

[Glossary Term Usage](#) | See Topic(s): [310](#) , [326](#)

A letter of credit (or similar arrangement however named or designated) that represents an obligation to the beneficiary on the part of the issuer for any of the following:

- a. To repay money borrowed by or advanced to or for the account of the account party
- b. To make payment on account of any evidence of indebtedness undertaken by the account party
- c. To make payment on account of any default by the account party in the performance of an obligation.

A standby letter of credit would not include the following:

- a. Commercial letters of credit and similar instruments where the issuing bank expects the beneficiary to draw upon the issuer and which do not guarantee payment of a money obligation
- b. A guarantee or similar obligation issued by a foreign branch in accordance with and subject to the limitations of Regulation M of the Federal Reserve Board.

Standstill Agreement

[Glossary Term Usage](#) | See Topic(s): [323](#)

An agreement signed by the investee and investor under which the investor agrees to limit its shareholding in the investee.

Start-up Activities

[Glossary Term Usage](#) | See Topic(s): [720](#)

Defined broadly as those one-time activities related to any of the following:

- a. Opening a new facility
- b. Introducing a new product or service
- c. Conducting business in a new territory
- d. Conducting business with an entirely new class of customers (for example, a manufacturer who does all of its business with retailers attempts to sell merchandise directly to the public) or beneficiary
- e. Initiating a new process in an existing facility
- f. Commencing some new operation.

Statement of Changes in Net Assets in Liquidation

[Glossary Term Usage](#) | See Topic(s): [205](#)

A statement that presents the changes during the period in net assets available for distribution to investors and other claimants during liquidation.

Statement of Net Assets in Liquidation

[Glossary Term Usage](#) | See Topic(s): [205](#)

A statement that presents a liquidating entity's net assets available for distribution to investors and other claimants as of the end of the reporting period.

Statutory Accounting Practices

[Glossary Term Usage](#) | See Topic(s): [944](#)

Accounting principles required by statute, regulation, or rule, or permitted by specific approval, that an insurance entity is required to follow when submitting its financial statements to state insurance departments.

Step Bonds

[Glossary Term Usage](#) | See Topic(s): [946](#)

Bonds that involve a combination of deferred-interest payment dates and increasing interest payment amounts over the bond lives and, thus, bear some similarity to zero-coupon bonds and to traditional debentures.

Stipulation

[Glossary Term Usage](#) | See Topic(s): [958](#)

A statement by a donor that creates a condition or restriction on the use of transferred resources.

Stock Appreciation Right

[Glossary Term Usage](#) | See Topic(s): [815](#)

A stock appreciation right is an award entitling employees to receive cash, stock, or a combination of cash and stock in an amount equivalent to any excess of the fair value of a stated number of shares of the employer's stock over a stated price.

Stock Dividend

[Glossary Term Usage](#) | See Topic(s): [260](#) , [505](#)

An issuance by a corporation of its own common shares to its common shareholders without consideration and under conditions indicating that such action is prompted mainly by a desire to give the recipient shareholders some ostensibly separate evidence of a part of their respective interests in accumulated corporate earnings without distribution of cash or other property that the board of directors deems necessary or desirable to retain in the business. A stock dividend takes nothing from the property of the corporation and adds nothing to the interests of the stockholders; that is, the corporation's property is not diminished and the interests of the stockholders are not increased. The proportional interest of each shareholder remains the same.

Stock Split

[Glossary Term Usage](#) | See Topic(s): [505](#)

An issuance by a corporation of its own common shares to its common shareholders without consideration and under conditions indicating that such action is prompted mainly by a desire to increase the number of outstanding shares for the purpose of effecting a reduction in their unit market price and, thereby, of obtaining wider distribution and improved marketability of the shares. Sometimes called a stock split-up.

Stop-Loss Arrangement

[Glossary Term Usage](#) | See Topic(s): [965](#)

In a stop-loss insurance arrangement, a plan's obligation for any plan participant's claims may be limited to a fixed dollar amount, or the plan's total obligation may be limited to a maximum percentage (for example, 125 percent) of a preset expected claims level. These arrangements are commonly used with administrative service arrangements. The insurance entity assumes the benefit obligation in excess of the limit. Stop-loss insurance arrangements may have characteristics of both self-funded and fully insured arrangements.

Stop-Loss Insurance

[Glossary Term Usage](#) | See Topic(s): [954](#)

A contract in which an entity agrees to indemnify providers for certain health care costs incurred by members.

Stratigraphic Test Well

[Glossary Term Usage](#) | See Topic(s): [932](#)

A stratigraphic test is a drilling effort, geologically directed, to obtain information pertaining to a specific geologic condition. Such wells customarily are drilled without the intention of being completed for hydrocarbon production. This classification also includes tests identified as core tests and all types of expendable holes related to hydrocarbon exploration. Stratigraphic tests are classified as *exploratory-type* if not drilled in a [proved area](#) or *development-type* if drilled in a proved area.

Strict Liability

[Glossary Term Usage](#) | See Topic(s): [410](#)

Liability imposed without regard to the liable party's fault.

Stripping Costs

[Glossary Term Usage](#) | See Topic(s): [930](#)

Stripping costs are costs incurred for the removal of overburden or waste materials for the purpose of obtaining access to an ore body that will be commercially produced.

Structured Note

[Glossary Term Usage](#) | See Topic(s): [320](#)

A debt instrument whose cash flows are linked to the movement in one or more indexes, interest rates, foreign exchange rates, commodities prices, prepayment rates, or other market variables. Structured notes are issued by U.S. government-sponsored enterprises, multilateral development banks, municipalities, and private entities. The notes typically contain embedded (but not separable or detachable) forward components or option components such as caps, calls, and floors. Contractual cash flows for principal, interest, or both can vary in amount and timing throughout the life of the note based on nontraditional indexes or nontraditional uses of traditional interest rates or indexes.

Stub Period

[Glossary Term Usage](#) | See Topic(s): [815](#)

Interest rate swaps with variable rates based on the London Interbank Offered Rate (LIBOR) typically reset at three-month or six-month intervals. Often, swaps may trade on interim dates that do not correspond to a swap reset date. Calendar dates that are swap reset and payment dates are set by market convention. A swap that resets quarterly may have a first payment period that is shorter than a full quarter, such as 30 days versus 90

days. Because the first payment period is not equal to a full quarter, it is referred to as a stub period. That stub period is the period that begins on the date coupon payments begin to accrue and ends on the first payment date.

Stub Rate

[Glossary Term Usage](#) | See Topic(s): [815](#)

The stub rate is the variable rate that corresponds to the length of a [stub period](#).

Subcontractor Claims

[Glossary Term Usage](#) | See Topic(s): [912](#)

Those obligations of a contractor to a subcontractor that arise from the subcontractor's costs incurred through transactions that were related to a contract terminated but did not result in the transfer of billable materials or services to the contractor before termination.

Subjective Acceleration Clause

[Glossary Term Usage](#) | See Topic(s): [470](#)

A subjective acceleration clause is a provision in a debt agreement that states that the creditor may accelerate the scheduled maturities of the obligation under conditions that are not objectively determinable (for example, if the debtor fails to maintain satisfactory operations or if a material adverse change occurs).

Sublease

[Glossary Term Usage](#) | See Topic(s): [805](#) , [842](#)

A transaction in which an [underlying asset](#) is re-leased by the [lessee](#) (or intermediate [lessor](#)) to a third party (the sublessee) and the original (or head) [lease](#) between the lessor and the lessee remains in effect.

Subordinated Financial Support

[Glossary Term Usage](#) | See Topic(s): [810](#)

Variable interests that will absorb some or all of a variable interest entity's (VIE's) expected losses.

Subrogation

[Glossary Term Usage](#) | See Topic(s): [944](#)

The right of an insurer to pursue any course of recovery of damages, in its name or in the name of the policyholder, against a third party who is liable for costs relating to an insured event that have been paid by the insurer.

Subscriber-Related Costs

[Glossary Term Usage](#) | See Topic(s): [922](#)

Costs incurred to obtain and retain subscribers to the cable television system, including costs of billing and collection, bad debts, and mailings; repairs and maintenance of taps and connections; franchise fees related to revenues or number of subscribers; general and administrative system costs, such as salary of the system manager and office rent; programming costs for additional channels used in the marketing effort or costs related to revenues from, or number of subscribers to, per-channel or per-program service; and direct selling costs.

Subscription-Form Demutualization

[Glossary Term Usage](#) | See Topic(s): [944](#)

A situation in which eligible policyholders receive only the right to purchase stock in the insurance entity or its parent at terms essentially equivalent to the terms offered to independent third parties.

Subsequent Events

[Glossary Term Usage](#) | See Topic(s): [855](#)

Events or transactions that occur after the balance sheet date but before [financial statements are issued](#) or are [available to be issued](#). There are two types of subsequent events:

- a. The first type consists of events or transactions that provide additional evidence about conditions that existed at the date of the balance sheet, including the estimates inherent in the process of preparing financial statements (that is, recognized subsequent events).
- b. The second type consists of events that provide evidence about conditions that did not exist at the date of the balance sheet but arose subsequent to that date (that is, nonrecognized subsequent events).

Subsidiary

[Glossary Term Usage](#) | See Topic(s): [220](#) , [260](#) , [323](#) , [480](#) , [610](#) , [810](#) , [845](#) , [932](#) , [942](#)

An entity, including an unincorporated entity such as a partnership or trust, in which another entity, known as its parent, holds a controlling financial interest. (Also, a variable interest entity that is consolidated by a primary beneficiary.)

Substantial Doubt about an Entity's Ability to Continue as a Going Concern

[Glossary Term Usage](#) | See Topic(s): [205](#)

Substantial doubt about an entity's ability to continue as a going concern exists when conditions and events, considered in the aggregate, indicate that it is [probable](#) that the entity will be unable to meet its obligations as they become due within one year after the date that the [financial statements are issued](#) (or within one year after the date that the [financial statements are available to be issued](#) when applicable). The term *probable* is used consistently with its use in Topic [450](#) on contingencies.

Substantive Conversion Feature

[Glossary Term Usage](#) | See Topic(s): [470](#)

A conversion feature that is at least reasonably possible of being exercisable in the future absent the issuer's exercise of a call option.

Substantive Plan

[Glossary Term Usage](#) | See Topic(s): [715](#)

The terms of the postretirement benefit plan as understood by an employer that provides postretirement benefits and the employees who render services in exchange for those benefits. The substantive plan is the basis for the accounting for that exchange transaction. In some situations an employer's cost-sharing policy, as evidenced by past practice or by communication of intended changes to a plan's cost-sharing provisions, or a past practice of regular increases in certain monetary benefits, may indicate that the substantive plan differs from the extant written plan.

Supplemental Actuarial Value

[Glossary Term Usage](#) | See Topic(s): [960](#)

The amount assigned under the actuarial cost method in use to years before a given date.

Supply Cooperative

[Glossary Term Usage](#) | See Topic(s): [905](#)

A cooperative that supplies to its patrons goods and services used by them in producing their products. Supply or purchasing cooperatives obtain or produce such items as building materials, equipment, feed, seeds, fertilizer, chemicals, and petroleum products for their patrons. See [Purchasing Cooperative](#).

Support Equipment and Facilities

[Glossary Term Usage](#) | See Topic(s): [932](#)

Support equipment and facilities used in oil- and gas-producing activities, such as seismic equipment, drilling equipment, construction and grading equipment, vehicles, repair shops, warehouses, supply points, camps, and division, district, or field offices.

Supporting Activities

[Glossary Term Usage](#) | See Topic(s): [958](#)

Supporting activities are all activities of a not-for-profit entity (NFP) other than program services. Generally, they include the following:

- a. [Management and general activities](#)
- b. [Fundraising activities](#)
- c. [Membership development activities](#).

Surplus Notes

[Glossary Term Usage](#) | See Topic(s): [944](#)

Surplus notes are financial instruments issued by insurance entities that are includable in surplus for statutory accounting purposes as prescribed or permitted by state laws and regulations.

Surrender Charge

[Glossary Term Usage](#) | See Topic(s): [325](#) , [944](#)

A contractual fee imposed by the insurance entity when a policyholder surrenders the insurance policy that typically decreases over the life of the policy. The surrender charge represents a recovery of costs incurred by the insurance entity in originating the policy. It may or may not be explicitly called a surrender charge and can be embedded in other agreements besides the insurance contract. (Note: The use of this glossary term is not consistent among legal contracts. When determining the applicability of this term, the economic substance of the item shall be taken into consideration.)

Surrender Charges

[Glossary Term Usage](#) | See Topic(s): [944](#)

Amounts expected to be assessed against policyholder balances at contract redemption, whole or partial, regardless of how the charges are labeled, such as contingent deferred sales charges.

Suspense Shares

[Glossary Term Usage](#) | See Topic(s): [718](#)

The shares initially held by the employee stock ownership plan in a suspense account are called suspense shares. Suspense shares are shares that have not been released, committed to be released, or allocated to participant accounts. Suspense shares generally collateralize employee stock ownership plan debt.

Syndication Activities

[Glossary Term Usage](#) | See Topic(s): [970](#)

Efforts to directly or indirectly sponsor the formation of entities that acquire interests in real estate by raising funds from investors. As consideration for their investments, the investors receive ownership or other financial interests in the sponsored entities. All general partners in syndicated partnerships are deemed to perform syndication activities.

Synthetic Instrument Accounting

[Glossary Term Usage](#) | See Topic(s): [815](#)

Synthetic instrument accounting views two or more distinct financial instruments (generally a cash instrument and a derivative instrument) as having synthetically created another single cash instrument. The objective of synthetic instrument accounting is to present those multiple instruments in the financial statements as if they were the single instrument that the entity sought to create. Paragraph [815-10-25-4](#) states that synthetic instrument accounting is prohibited.

Systematic Risk

[Glossary Term Usage](#) | See Topic(s): [820](#)

The common risk shared by an asset or a liability with the other items in a diversified portfolio. Portfolio theory holds that in a market in equilibrium, market participants will be compensated only for bearing the systematic risk inherent in the cash flows. (In markets that are inefficient or out of equilibrium, other forms of return or compensation might be available.) Also referred to as nondiversifiable risk.
